

10. Investments have poor returns.

Not surprisingly, a do-it-yourself investment approach addresses many of the shortcomings of financial experts.

Financial advisors are ubiquitous in the United States, where many investors hire them to assist with investing, financial planning, and other types of financial decision-making. Advisors can be helpful when people lack the expertise or the time to devote to addressing esoteric or complex financial questions. If you seek advice in areas where information is ambiguous, however, and it's hard to judge the quality of the advice based on your own knowledge, you can get stuck with a second-order problem:

What is your basis for relying on the advisor in the first place?

Especially under conditions of uncertainty, what gives you confidence that you should trust the advisor and that the advice is any good? As we discussed in [Part One](#) of this book, there are many reasons why we shouldn't put faith in an expert.

Periodically, it comes time to review these relationships. So how do people assess the quality of advice they get from their advisors?

Should You Trust Your Advisor?

Certainly, you can consider an advisor's decision-making track record. How good has the advice been in the past? For example, do you get a monthly statement comparing your returns to a benchmark? Has following the advice led to good outcomes? But this hindsight approach has its challenges.

Some decisions are rare. A home mortgage, for instance, a change in marital status, a windfall, or selection of a fund for a retirement account, may be one-time events, where it may take many years to see whether the advice was good. Additionally, adverse economic shocks, like the financial crisis, or idiosyncratic risks, like a huge drawdown in, say, a gold position, may also cloud your ability to judge the quality of the advice. So you may have to fall back on other means to draw your conclusions.

Perhaps the advisor has similar values to yours. They exhibit a lot of professionalism. These presumably have something to do with their ability